

Madhyanchal Vidyut Vitran Nigam Ltd. and Another v. M/S Atal Infratech Pvt. Ltd. and Another

High Court of Judicature at Allahabad, Lucknow Bench · Single Judge · 12 October 2023 · WRIT - C No. 8801 of 2023 · **Interim order (12.10.2023): the petitioner-licensee (MNVNL) challenged the order dated 25.05.2023 of the Consumer Grievance Redressal Forum, Lucknow (Complaint Case No. 86 of 2022) directing it to release a 5KVA electricity connection to the complainant after completing all formalities. The licensee contended that after the amendment of Clause 4.9 of the U.P. Electricity Supply Code, 2005 by notification dated 10.08.2018 fresh connections in the specified categories of buildings are to be released only on a multiple-point basis, that the respondent had never been substituted as the consumer of the disconnected connection (No. 1167417590, in the name of Nitish Kumar Rai), and that no prayer for a fresh connection had been made. Recording that 'the matter requires consideration', the Single Judge (Alok Mathur, J.) stayed the operation and effect of the impugned CGRF order till the next date of listing. The interim order has been continued on successive dates (23.11.2023, 16.01.2024, 19.02.2024, 22.03.2024, 06.08.2024, 12.09.2024 and 06.01.2025) and the writ remains pending; the questions raised are undecided.**

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HEADNOTE

The distribution licensee, Madhyanchal Vidyut Vitran Nigam Ltd. (MNVNL), filed WRIT-C No. 8801 of 2023 challenging an order dated 25.05.2023 of the Consumer Grievance Redressal Forum, Lucknow (Complaint Case No. 86 of 2022) which had directed it to release a 5KVA electricity connection to the complainant after completing formalities. The commercial connection (No. 1167417590) at Shop No. 3-62/C-67, Ekta Market, Vikas Nagar, Lucknow, standing in the name of a former tenant, Nitish Kumar Rai, had been permanently disconnected for outstanding dues of Rs.1,77,155; a complaint (signed by Mohd. Azam Khan, later amended to substitute M/s Atal Infratech Pvt. Ltd.) sought to set aside that demand and to reconnect supply. Before the Single Judge (Alok Mathur, J.), the licensee contended that (i) after the amendment of Clause 4.9 of the U.P. Electricity Supply Code, 2005 by notification dated 10.08.2018, all new connections for multistoried buildings, multiplexes, marriage halls, cooperative group housing societies and colonies are to be released only on a multiple-point basis, so the CGRF could not direct a single/individual fresh connection; (ii) the respondent had never been substituted as the registered consumer and never became a consumer; and (iii) no prayer for a fresh connection had been made, so the CGRF could not grant that relief. Recording that 'the matter requires consideration', the Court, by interim order dated 12.10.2023, stayed the operation and effect of the impugned CGRF order till the next date of listing. That interim order has since been continued on successive dates and the writ remains pending; the questions raised - the reach of amended Clause 4.9 and the CGRF's power to direct a fresh connection to a non-consumer on relief not prayed for - remain undecided.

FACTUAL SUMMARY

The commercial electricity connection (Connection No. 1167417590) at Shop No. 3-62/C-67, Ekta Market, Vikas Nagar, Lucknow, stood in the name of Nitish Kumar Rai, a former tenant of the shop, who vacated without paying the electricity dues consumed during his tenancy; the licensee, Madhyanchal Vidyut Vitran Nigam Ltd. (MNVNL), permanently disconnected the connection on account of an outstanding amount of Rs.1,77,155. A complaint (Complaint Case No. 86 of 2022) was filed before the Consumer Grievance Redressal Forum, Lucknow - purportedly by Nitish Kumar Rai but signed by Mohd. Azam Khan, and later amended to substitute M/s Atal Infratech Pvt. Ltd. as the applicant - contending that the demand was illegal because the applicant, though occupier of the shop, had not consumed the electricity, and seeking to set aside the demand of Rs.1,77,155 and late-payment surcharge in the bill dated 29.11.2019, exemption of fixed and other charges during the disconnection and COVID-19 period, reassessment of the bill on three-month average consumption, and reconnection of supply. By order dated 25.05.2023 the CGRF directed the licensee to release a 5KVA electricity connection in favour of the complainant after completing all formalities. The licensee filed the present writ before the Lucknow Bench, contending that a fresh connection could not be released contrary to the amended Clause 4.9 of the U.P. Electricity Supply Code, 2005 (as amended by notification dated 10.08.2018), that the respondent had never been substituted as the consumer of the connection and never became a consumer, and that no prayer for a fresh connection had been made. By interim order dated 12.10.2023 (Alok Mathur, J.) the Court found the matter required consideration and stayed the impugned CGRF order; the interim order was continued on 23.11.2023, 16.01.2024, 19.02.2024, 22.03.2024, 06.08.2024, 12.09.2024 and 06.01.2025, the writ remaining pending.

REUSABLE CONSTRUCTIONS

1. After the amendment of Clause 4.9 of the U.P. Electricity Supply Code, 2005 by notification dated 10.08.2018, all new connections for the specified categories - domestic/non-domestic multistoried buildings, multiplexes, marriage halls, cooperative group housing societies and colonies - are to be released only on a multiple-point basis for supply to individual owners/occupants; a licensee's contention that the CGRF could not therefore direct a single/individual fresh connection was found to raise a question requiring consideration and warranted a stay of the CGRF's order. **order of 12.10.2023 para 4-6, 10**
2. A Consumer Grievance Redressal Forum's direction to release a fresh electricity connection to a person who was never substituted as, and never became, the registered consumer of a disconnected connection, and where no prayer for a fresh connection was made, raises a serious question as to the Forum's power and may be stayed pending decision. **order of 12.10.2023 para 4, 6, 10**
3. Where a distribution licensee's challenge to a CGRF order raises questions requiring consideration, the writ court may stay the operation and effect of the impugned CGRF order pending final hearing. **order of 12.10.2023 para 7, 10**

HOLDING-UNITS

HOLDING-UNIT • UP-2005::4.9

OBITER

Amended Clause 4.9 mandates multi-point release for specified buildings; a CGRF direction for a single/individual fresh connection is prima facie contrary

QUESTION

After the amendment of Clause 4.9 of the U.P. Electricity Supply Code, 2005 by notification dated 10.08.2018 - under which new connections for multistoried buildings, multiplexes, marriage halls, cooperative group housing societies and colonies are to be released only on a multiple-point basis - could the CGRF direct release of a 5KVA single/individual fresh connection?

HOLDING

The Court did not finally decide, but found the question required consideration. On the licensee's contention that after the 10.08.2018 amendment fresh connections in the specified categories are to be released only on a multiple-point basis for individual owners/occupants, and that the CGRF (which had itself noticed the amended provision in para 8 of its order) had nonetheless directed a single/individual fresh connection contrary to the amended Code, the Court held the matter required consideration and, as an interim measure, stayed the operation and effect of the impugned CGRF order dated 25.05.2023 till the next date of listing. The interim order has since been continued and the issue remains pending. **order of 12.10.2023 para 4-7, 10**

EVIDENCE *"All new connections domestic / non-domestic Multistoried Buildings / Multiplex / Marriage Halls / Cooperative Group Housing Societies / Colonies shall be released only on multiple point for supply of power to individual owners/occupants from licensee."* **order of 12.10.2023 para 4**

EVIDENCE *"this aspect of the matter was duly noticed by the CGRF in the impugned order in para 8 but still proceeded to pass an order in favour of applicant, contrary to the provisions as contained in amended Electricity Supply Code, 2005"* **order of 12.10.2023 para 6**

EVIDENCE *"Till the next date of listing, operation and effect of impugned order dated 25.05.2023, shall remained stayed."* **order of 12.10.2023 para 10**

FLAG Compilation of order-sheets (12.10.2023-06.01.2025); only the substantive interim order of 12.10.2023 is paragraph-numbered (paras 1-10). Pins reference that order's date/paragraphs. The findings are prima facie/interim - the writ remains pending (see not_decided).

HOLDING-UNIT • UP-2005::7.10

OBITER

CGRF cannot (prima facie) direct a fresh connection to one never substituted as consumer, after permanent disconnection, where no such relief was prayed

QUESTION

Could the CGRF direct release of a fresh electricity connection to a person who was never substituted as, and never became, the registered consumer of the permanently disconnected connection, and where no prayer for a fresh connection had been made?

HOLDING

The Court found this too required consideration. The licensee contended that the connection stood in the name of Nitish Kumar Rai, that neither the respondent nor M/s Atal Infratech Pvt. Ltd. was ever substituted as or became a consumer, that after permanent disconnection a fresh connection in the name of an individual could not be granted by the CGRF, and that no prayer for a fresh connection had been made so the CGRF could not have passed the impugned order. Recording that the matter required consideration, the Court stayed the impugned CGRF order pending hearing. This was an interim/prima facie view; the question remains undecided. [order of 12.10.2023 para 4, 6-7, 10](#)

EVIDENCE “once undisputedly there was permanent disconnection then fresh electricity connection in the name of an individual could not have been granted by the CGRF, Lucknow” [order of 12.10.2023 para 4](#)

EVIDENCE “the respondent no. 1 was neither consumer of Electricity Connection No. 1167417590, issued in the name of Nitish Kumar Rai and name of either the respondent or alleged M/s Atal Infratech Pvt. Ltd. was never substituted and they never became consumer of the petitioners” [order of 12.10.2023 para 6](#)

EVIDENCE “no prayer for fresh electricity connection has been made and without any prayer having been made to that effect, the CGRF could not have passed the impugned order” [order of 12.10.2023 para 6](#)

EVIDENCE “In view of the submissions made above, the matter requires consideration.” [order of 12.10.2023 para 7](#)

PRINCIPLE TAGS

amended-clause-4.9-multi-point-release-mandate-2018 The licensee relied on the 10.08.2018 amendment of Clause 4.9 requiring multiple-point release for multistoried buildings and the other specified categories; the Court found the CGRF's direction for a single/individual fresh connection prima facie contrary and stayed it pending consideration. [order of 12.10.2023 para 4-6, 10](#)

cgrf-cannot-grant-fresh-connection-to-non-consumer-on-unprayed-relief The respondent was never substituted as the consumer of the disconnected connection and no prayer for a fresh connection was made; the Court found the CGRF's direction to release a fresh connection raised a question requiring consideration and stayed it. [order of 12.10.2023 para 6-7, 10](#)

writ-stay-of-cgrf-order-at-instance-of-licensee On the licensee's challenge raising questions requiring consideration, the writ court stayed the operation and effect of the impugned CGRF order pending final hearing. [order of 12.10.2023 para 7, 10](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER, AFTER THE 10.08.2018 AMENDMENT OF CLAUSE 4.9, THE CGRF COULD DIRECT RELEASE OF A SINGLE/INDIVIDUAL (5KVA) FRESH CONNECTION FOR THE PREMISES

Only a prima facie view ('the matter requires consideration') was recorded and the CGRF order stayed; the writ remains pending (continued to 06.01.2025 in the material before the Court) and the merits are undecided. [order of 12.10.2023 para 7, 10](#)

NOT DECIDED — WHETHER THE CGRF COULD DIRECT A FRESH CONNECTION TO A PERSON NEVER SUBSTITUTED AS THE CONSUMER, AFTER PERMANENT DISCONNECTION, ON RELIEF NOT PRAYED FOR

Left open at the interim stage; the Court stayed the impugned order without deciding the CGRF's power or the respondent's consumer status. [order of 12.10.2023 para 6-7](#)

NOT DECIDED — THE LEGALITY OF THE DEMAND OF RS.1,77,155 AND THE REASSESSMENT/EXEMPTION PRAYERS BEFORE THE CGRF

These were the subject of the CGRF complaint and were not adjudicated by the writ court, whose interim order stayed the CGRF's operative direction. [order of 12.10.2023 para 3](#)

RELATED CASES — SEE ALSO

SCJ-2854 — Apex Dream Homes (2023) - Clause 4.9 single-point vs multi-point; prima facie no power to compel conversion, interim protection granted - the same amended-Clause-4.9 axis, in the mirror posture of a consumer resisting multi-point.

SCJ-2661 — Friends Land Developers - pending challenge to the Electricity Supply Code (13th Amendment), 2018 amending Clause 4.9 to convert single-point to multi-point supply, the very amendment invoked here.

SCJ-2205 — M/S M.R. Proview Realtech - order-sheet in a pending writ challenging Clause 4.9 (Thirteenth Amendment), 2018, cognate to the amended-Clause-4.9 question raised here.

SCJ-355 — Dr. Mohammad Afsar Khan - an individual purchaser of a shop in a multi-storey building with an existing single-point connection cannot alone claim a separate connection, bearing on the CGRF's direction for a single/individual fresh connection here.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Order dated 25.05.2023 of the Consumer Grievance Redressal Forum, Lucknow (Complaint Case No. 86 of 2022 - Atal Infratech Pvt. Ltd. v. Executive Engineer)</i> Consumer Grievance Redressal Forum, Lucknow	Directed the licensee to release a 5KVA electricity connection in favour of the complainant after completing all formalities.	The impugned order; its operation and effect were stayed pending consideration of the licensee's challenge. order of 12.10.2023 para 2, 10	Petitioner	Referred
<i>Electricity Supply Code (notification dated 10.08.2018 amending Clause 4.9)</i> U.P. Electricity Regulatory Commission	Amended Clause 4.9 to provide that all new connections for domestic/non-domestic multistoried buildings, multiplexes, marriage halls, cooperative group housing societies and colonies shall be released only on a multiple-point basis for supply of power to individual owners/occupants.	Relied on by the licensee to contend that the CGRF could not direct a single/individual fresh connection. order of 12.10.2023 para 4	Petitioner	Relied on

SCJ-2856 · Madhyanchal Vidyut Vitran Nigam Ltd. and Another v. M/S Atal Infratech Pvt. Ltd. and Another · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.